CONVEX RESEARCH GROUP
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Weekly Trade Idea
Week of June 15, 2026
Issue No. 1
Published: June 13, 2026

GDX — Long Gold Miners

Gold is at all-time highs. The miners extracting it are not priced like it. That gap closes.

TRADE SNAPSHOT — EQUITY

GDX — VanEck Gold Miners ETF					
Ticker	GDX	**Direction**	Long	**Asset Class**	Equity
Sector	Gold Mining	**Time Horizon**	4 to 6 weeks	**Conviction**	Medium / High
Entry Price	$78 to $80	**Price Target**	$90	**Stop Loss**	$74
Risk / Reward	~2x	**Position Size**	5 to 8%	**Published**	Jun 13, 2026

TRADE SNAPSHOT — FIXED INCOME

SHY — iShares 1-3 Year Treasury Bond ETF					
Ticker	SHY	**Direction**	Long	**Asset Class**	Fixed Income
Type	Short Duration Govt	**Time Horizon**	2 to 4 weeks	**Conviction**	Medium / High
Entry Price	$82 to $82.50	**Price Target**	$83.50	**Stop Loss**	$81.50
Risk / Reward	~2x	**Position Size**	5 to 8%	**Published**	Jun 13, 2026

INVESTMENT THESIS

Gold miners have a simple profit structure. Their revenues move with the gold price. Their costs are relatively fixed in the near term. When gold goes up, nearly all of that extra revenue flows directly to the bottom line. At $4,225 an ounce, GDX constituents like Newmont, Barrick, and Agnico Eagle are generating cash flow at levels that the current ETF price does not fully reflect.

Today GDX gained 3.91% on a session where gold moved 2.70%. That sounds fine until you account for the fact that miners historically trade at two to three times the metal's daily move given their profit sensitivity to price. The underperformance is not a fundamental signal. It is generalist money rotating into higher-beta names like semis on a broad risk-on day. That rotation reverses, and when it does the catch-up trade in miners is the beneficiary.

- Gold has multiple independent support pillars right now. Real yields fell sharply this morning as oil prices dropped on Iran deal hopes, making gold more attractive relative to bonds. The Iran deal itself remains unsigned with both sides publicly disputing terms as of Friday, keeping a geopolitical bid under the metal. Central banks globally have been consistent net buyers for two years running.

- The entry matters here. GDX gapped up today on the risk-on tape. The trade is not to chase Monday's open. Waiting for a pullback toward $78 to $80 early in the week gives you a risk/reward that makes sense. Chasing a gap reduces your margin of error significantly.
- The SHY position is a separate thesis with a specific catalyst. The Fed meets June 17. Markets are pricing a 96.4% probability of no move. The trade is on the language. If Fed Chair Powell acknowledges the oil-driven inflation relief and softens his tone on future hikes, short-term Treasury yields fall and SHY appreciates. The position is small by design because the instrument does not move dramatically either way.
- Both positions benefit from the same macro backdrop — falling real yields — without being dependent on each other. A hawkish Fed surprises hurts SHY but does not necessarily break the GDX thesis if gold holds its other support pillars.

KEY CATALYSTS

Catalyst	Expected Date	Bull Case Impact	Bear Case Impact
FOMC Meeting	Jun 17, 2026	Dovish tone, 2Y yield falls, SHY rallies, real yield decline adds further support to gold and GDX	Hawkish language, July hike odds rise, SHY stops out, gold loses rate support
Iran Deal Progress	Ongoing	Talks remain unresolved, geopolitical bid stays under gold, GDX grinds higher toward target	Deal formally signed, gold loses fear bid, GDX reverses sharply toward stop
Gold Price Action	Daily	Gold holds above $4,200, miner catch-up trade plays out over 4 to 6 weeks	Gold breaks below $4,000, thesis is broken, exit GDX immediately
GDX Constituent Earnings	Late July	Margin expansion confirms the cash flow thesis and re-rates the ETF higher	Cost overruns or guidance cuts from major miners pressure the ETF

BULL / BASE / BEAR SCENARIOS — GDX

Scenario	Probability	Price Target	Key Trigger
Bull Case	30%	$95 to $100	Iran deal collapses, gold spikes above $4,400, miners re-rate sharply higher on fear bid
Base Case	50%	$88 to $90	Gold holds $4,200, deal uncertainty lingers, miners close the gap with the metal over 4 to 6 weeks
Bear Case	20%	$72 to $74	Iran deal signed cleanly, gold drops toward $3,900, miners fall two times as hard on operating leverage

KEY RISKS

- Iran deal closes cleanly. This is the primary risk. A signed agreement removes the geopolitical support pillar from gold. The metal drops and miners fall harder given their profit sensitivity. Position sizing at 5 to 8% of portfolio limits the damage if this happens.
- Fed turns hawkish on June 17. If Powell signals July hike probability is rising, real yields move back up, gold loses its rates support, and SHY stops out. Both legs of the trade face pressure simultaneously. The SHY stop at $81.50 is hard.

- Entry timing. Buying GDX at the Monday open after today's gap, rather than waiting for the $78 to $80 pullback, meaningfully compresses the risk/reward. Patience on entry is not optional here.
- Miner-specific risk. GDX diversifies across major producers but individual constituents carry operational risk including labor disputes, cost inflation, and country-specific political risk in jurisdictions where they mine. These cannot be fully hedged by owning the ETF.

POSITION MANAGEMENT

Entry trigger: Wait for GDX to pull back toward $78 to $80 early in the week. Do not buy the Monday open. Enter SHY between $82 and $82.50 before the June 17 FOMC decision.

Add on: If GDX holds $80 through the Fed meeting and Powell sounds dovish, add to the position on confirmation. Only add if the original entry level was reached.

Stop loss: GDX hard stop at $74. SHY hard stop at $81.50. If the Iran deal is formally signed and gold breaks below $4,000, exit GDX immediately regardless of where the price is relative to the stop.

Profit target: Sell half of GDX at $87 and let the remainder run to $90. Take full profit on SHY at $83.50.

Exit if thesis broken: Iran deal signed, gold breaks $4,000, or Fed explicitly signals July hike as base case. Do not hold through a thesis break waiting for a recovery that may not come.